CPTC31081 · ESSEC MiM 1 · FALL 2026

Refresher Course Accounting

Complete revision notes · Sameh Amer

ASSESSMENT Examen final le mardi 15 décembre 2026 au matin, sur papier, 100 % de la note : financial accounting 60 %, management accounting 40 %. Calculatrice 4 opérations seulement. Rattrapage début 2027.

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01 S1 · Fundamentals: the business equation and financial statements (9 Oct.)

Readings: Stolowy et al., ch. 1 to 5. Workbook cases: Verdi, Busoni.

Why financial accounting matters

- Accounting is the language of business. Financial accounting reports on the resources the firm controls and how management uses them.
- Users: shareholders, lenders, suppliers, customers, employees, analysts, government, the public, management. Information that meets investors' needs is assumed to meet everyone's.
- The course takes the **user's** perspective: be an informed reader of financial statements.

The business equation

```
Assets = Liabilities + Shareholders' equity
Net income = Revenue - Expenses   (net income is part of equity)
```

Item	Definition (IASB Conceptual Framework 2018)
Asset	A present economic resource controlled by the entity as a result of past events; an economic resource is a right that has the potential to produce economic benefits. Current or non-current.
Liability	A present obligation to transfer an economic resource as a result of past events. Current or non-current.
Equity	The residual interest in the assets after deducting all liabilities: share capital and retained earnings.
Income	Increases in assets or decreases in liabilities that increase equity, other than contributions from shareholders.
Expenses	Decreases in assets or increases in liabilities that decrease equity, other than distributions to shareholders.

Every transaction keeps the equation balanced: it changes both sides by the same amount (+X/+X or –X/–X) or reallocates within one side (+X –X). Revenue increases equity, expenses decrease it. For each transaction ask: **does it affect equity?** If so, it is revenue or an expense (unless it is a contribution or a dividend).

Profit ≠ cash. Some transactions affect cash but not profit (borrowing, buying equipment, repaying a loan); others affect profit and cash in different periods (credit sales and purchases). This is the accruals principle.

The financial statements

- **Statement of financial position (balance sheet)**: uses (assets) and sources (liabilities and equity) of funds at a date.
- **Statement of profit or loss** (income statement): revenue minus expenses for the period.
- **Statement of changes in equity**, **statement of cash flows** (operating, investing, financing) and **notes**.
- The course prepares the balance sheet, the income statement and the statement of cash flows. They are linked: profit feeds equity, and the change in cash explains the cash line of the balance sheet.

Rules of the game and principles

- Why rules: valuing assets and liabilities, recognising revenue and expenses, telling assets from expenses (a share bought €5 worth €30 at year end; a pool table sold on 31 Dec but delivered on 31 Jan; €60m of R&D).
- Standard setters: the IFRS Foundation with the IASB (IAS/IFRS) and, since 2021, the ISSB (IFRS S1 and S2); the EU ("IFRS as adopted by the EU"); FASB (US GAAP); ANC (French GAAP). US GAAP rely more on rules, IFRS on principles. Daimler-Benz in 1993: DM 615m profit under German GAAP, DM 1,839m loss under US GAAP.

- Principles: going concern, faithful representation (complete, neutral, free from error), consistency, accrual accounting, prudence, monetary unit.
- Measurement bases: **historical cost** (easy to determine and verify, but ignores later market changes) and **current value**, including **fair value** (market price; used mainly for financial instruments; IAS 16 allows revaluation, IAS 40 fair value for investment property).
- Governance: shareholders elect the board, which appoints management and an audit committee; the auditor certifies the accounts.

2027 change (IFRS 18): IFRS 18 replaces IAS 1 for periods beginning on or after 1 January 2027. Income and expenses fall into five categories (operating, investing, financing, income taxes, discontinued operations) with two new subtotals: operating profit, and profit before financing and income taxes. The course uses 2026 presentation.

Course exercises

Compofruit example Slides S1Suggested solution
Compofruit makes jam. Assets or liabilities? A car to transport fruit; sugar bought but not paid; unsold jam; money in the bank; the decision to buy a new machine; employees hired.

▶ Show the solution

Verdi case (Workbook) Workbook · solution in slides S1Official solution
Advertising agency created on 1 January X1. (1) Capital contribution 150; (2) bank loan 60; (3) equipment 125 paid by cheque; (4) campaign for Sam Suffit invoiced 250, due in 30 days; (5) Sam Suffit pays 180; (6a) salaries paid 101; (6b) interest withdrawn 4; (6c) subcontractor invoice 85 due in 60 days; (7) 80 paid to the supplier; (8) 12 repaid on the loan. Business equation and year-end statements.

▶ Show the solution

Busoni case (Workbook) Moodle · Busoni solutionOfficial solution
Created on 30 Sept X1. (1) Shareholders contribute equipment 100 and cash 40; (2) merchandise bought on credit 60; (3) bank loan 100; (4) services on credit 50; (5) personnel expenses paid 20; (6) 42 received from customers; (7) half the merchandise sold on credit for 40; (8) utilities invoice 15; (9) suppliers paid 45; (10) 10 repaid to the bank.

▶ Show the solution

Classic traps

- Collecting a receivable or paying a payable does not affect profit.
- A loan is not revenue and its repayment is not an expense; only interest is an expense.
- A shareholder contribution increases equity without being revenue.

02 S2 · Operating cycle: revenue, inventories, receivables (16 Oct.)

Readings: Stolowy et al., ch. 6, 9 and 10. Cases: Mozart (Workbook), Schultz exercise.

The operating cycle

Purchases → inventory → production → sales → receivables → collections; purchases → payables → payments. **Current assets** are used in one cycle and turned into cash within a year (inventories, trade receivables, receivables from the state, advances to suppliers, cash).

Revenue and expense recognition

	Accruals	Cash
Revenue	When the performance obligation is satisfied (at a point in time or over time)	When received
Expenses	When incurred	When paid

- **IFRS 15** five-step model: identify the contract; identify the performance obligations; determine the transaction price; allocate it; recognise revenue when (or as) each obligation is satisfied.
- Goods: at a point in time (transfer of control); services: over time. LVMH: retail sales recognised at the time of purchase, services as provided, net of discounts.
- Manipulation: misrecorded revenue explains 60% of the US scandals studied by COSO: timing differences ("cookie jar") or fake sales (Gowex, Satyam); see also Tesco (2014).
- Ideally, expenses are **matched** to the related revenue.

Inventories

- Until a product is sold, its costs stay in the balance sheet. Measured at the **lower of cost and net realisable value**. Types: merchandise, raw materials, finished goods.

```
Acquisition cost = purchase price + costs to bring inventory to its location and condition (transport, handling)
                 + other directly attributable costs (import duties, non-recoverable taxes)
- trade discounts and rebates
Production cost = direct costs + systematic share of production overheads
Cost of goods sold = opening inventory + purchases - closing inventory
```

Method	Assumption	Effect
Specific identification	Non-fungible items	Actual cost of each item
FIFO	First in, first out	Closing inventory close to recent prices (favours the balance sheet)
LIFO	Last in, first out	Not allowed under IFRS, allowed under US GAAP; reacts to price changes (favours the income statement)
WAC	Weighted average, recomputed after each purchase	No consumption pattern assumed

When prices **rise**, FIFO maximises profit and closing inventory and minimises COGS; LIFO does the opposite. When prices fall, it is the other way round.

Accounts receivable

- They exist because transactions are not settled instantly and accounting is accrual-based.
- **Doubtful** receivables: an allowance in the balance sheet through an expense. **Uncollectible** receivables: written off with a bad debt expense. Under IFRS 9 (simplified approach) the allowance on trade receivables is measured at lifetime expected credit losses from initial recognition.

Course exercises

Cameras case (slides) Slides S2Official solution
Opening inventory: 50 cameras at €100. 10 Jan: buys 75 at €110; 15 Jan: sells 60 at €150; 20 Jan: buys 25 at €120; 30 Jan: sells 40 at €150. Closing inventory under WAC, FIFO and LIFO.

▶ Show the solution

Mozart case (Workbook) WorkbookSuggested solution
Single-product retailer opened on 1 April. 1 Apr capital 5,000; 2 Apr buys 200 units at 22 cash; 8 Apr buys 180 at 18 on credit; 17 Apr sells 240 at 25 cash; 22 Apr rent 500; 25 Apr sells 20 at 26 on credit; 27 Apr salaries 400; 30 Apr pays 40% tax on the month's income. Statements under FIFO, LIFO and WAC.

▶ Show the solution

Schultz exercise (revenue recognition) Moodle · SchultzOfficial solution
(a) A school invoices Q1 X2 fees on 1 Dec X1, all collected by 15 Dec, and recognises revenue when cash is received. (b) A shipyard builds a ship (10% complete at end X2, 80% at end X3, delivered April X4) and recognises revenue on delivery. (c) A bridge club spreads membership fees straight-line. (d) A consignor recognises revenue when goods are delivered to the consignee.

▶ Show the solution

Bruckner example (doubtful receivable) Slides S2Suggested solution
End X1: claim of 100 on Anton, collectible amount estimated at 60. End X2: loss estimated at 70. X3: Anton is liquidated and pays 10.

▶ Show the solution

03 S3 · Non-current assets and depreciation (23 Oct.)

Readings: Stolowy et al., ch. 7 and 8. Case: Amorti (Workbook).

Definitions and classification

Non-current assets are not expected to be turned into cash within the normal operating cycle (usually one year). The difference lies in the **purpose**: the same item may be a non-current asset for one firm and inventory for another (cars at a car dealer).

Type	Examples	Consumption
Tangible (PP&E)	Buildings, equipment, machinery	Depreciation
Land		None
Natural resources	Oil reserves, mines, quarries	Depletion
Intangible, finite life	Patents, software, licences	Amortisation
Intangible, indefinite life	Brands, goodwill	None (impairment tests)
Financial	Shares, long-term loans	None; amortised cost or fair value (IFRS 9)

Initial recognition

- At cost (acquisition or production) plus directly attributable costs: site preparation, delivery, installation, professional fees, estimated dismantling cost. Slides example: price 100 + duties 5 + transport 15 + fees 30 = **150**.
- **Intangibles**: identifiable non-monetary assets without physical substance, recognised if future benefits are probable and cost is measurable (e.g. development costs). Never recognised: internally generated brands and goodwill, customer lists, advertising, training, research. Only **acquired goodwill** is recognised (price paid – fair value of identifiable net assets; LVMH and Tiffany, 2021).

Depreciation

```
Depreciable amount = cost - residual value
Straight line: rate = 1 / useful life; annual charge = depreciable amount × rate
Double-declining balance: rate = 2 × straight-line rate; charge = carrying amount × rate
Carrying amount = cost - accumulated depreciation (- impairment)
Gain or loss on disposal = proceeds - carrying amount
```

- Partial years are pro-rated. Accelerated methods charge more early on and shield income from tax. Depreciation has no cash effect (except through tax). Book value is usually **not** market value.

Derecognition

On disposal, the carrying amount is removed and the net gain or loss recognised (IAS 16.68). Example: equipment with a carrying amount of €40m sold for €45m → gain of €5m.

Course exercises

Slides examples: straight line and DDBM Slides S3Official solution
(1) Cost 11,000, residual value 1,000, 5 years, straight line. (2) NCA machine of 15,000 over 10 years, DDBM: first two years.

▶ Show the solution

Amorti case (Workbook) WorkbookSuggested solution

Five-year project: manufacturing licence €75,000, production line €300,000, launch advertising €100,000. Sales €1,000,000 a year, other expenses €800,000. Income statements for the first two years with (a) straight line and (b) 40% declining balance for the line.

▶ Show the solution

04 S4 · Equity and liabilities (30 Oct.)

Readings: Stolowy et al., ch. 11 and 12. Cases: ACME (Workbook), Gerry Co.

Equity vocabulary

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Share capital = number of shares × par value
Book value per share = equity / number of shares
Market capitalisation = number of shares × share price
Share premium = (issue price - par value) × shares issued
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- Par value only defines the number of shares in legal capital and each shareholder's voting power. Par value ≠ book value ≠ market value.
- The share premium (additional paid-in capital, capital surplus) is part of equity.

Profit appropriation

- Reserves (legal, statutory, voluntary), dividends, retained earnings. Declared but unpaid dividends become a **liability**. Presentation before or after appropriation.

Liabilities

A present obligation to transfer an economic resource as a result of past events.

	Liabilities	**Equity**
Repayment	Required	None
Flexibility	High	Low, high transaction costs, irreversible
Cost	Interest due whatever the outcome	No required payment; dividends if profits; higher expected return
Tax	Interest usually deductible	Dividends usually not deductible
Control	No say in management	Influence and control; dilution
Use of funds	Can be tied to a project (mortgages)	Not tied to a project

Course exercises

ACME case (Workbook) Workbook Suggested solution
Created with €5,000k of capital, par value €25. Needs €5,000k through a capital increase: market price €110, new shares issued at €100. Equity: capital 5,000, retained earnings 1,500, net income 800 (k€).

▶ Show the solution

Gerry Co. (profit appropriation) Moodle · Gerry Co. Official solution
Equity end X1: capital 100, premium 18, retained earnings 50. X2 profit 70; dividends declared 30. Equity before and after appropriation.

▶ Show the solution

05 S5 · Year-end adjustments: accruals, impairment, provisions (6 Nov.)

Readings: Stolowy et al., ch. 4, 7 and 12. Cases: Flossie Flowers, Imp, Provisor (Workbook), Offenbach.

Why adjust

Depreciation and impairment, accruals and deferrals, provisions, bad debts reflect the accruals, matching and prudence principles. A very profitable business can have a dangerous cash position, and an unprofitable one a growing cash balance.

Accruals and deferrals

Situation	Cash	Expense / revenue	Year-end entry
Prepaid expense	Paid in N	Belongs to N+1	Asset; reduce N expense
Deferred revenue	Received in N	Belongs to N+1	Liability; reduce N revenue
Accrued expense	Paid in N+1	Belongs to N	Liability; expense in N
Accrued revenue	Received in N+1	Belongs to N	Asset; revenue in N

Slides example	Entry at 31 Dec N
Rent 9,000 paid on 1 Nov for Nov, Dec, Jan	Prepaid expense 3,000; N expense 6,000
December electricity 100 billed and paid on 5 Jan N+1	Accrued expense 100
Annual subscription 1,200 received on 1 July, all booked as revenue	Deferred revenue 600; N revenue 600
Invoice of 900 on 1 Feb N+1 for Nov, Dec, Jan	Accrued revenue 600

Impairment

```
Recoverable amount = max(fair value less costs of disposal; value in use)
Impairment loss = carrying amount - recoverable amount (if positive)
```

Reversed if the recoverable amount rises (IAS 36.114), up to the carrying amount without impairment; **never for goodwill**.

Provisions

- A liability of uncertain timing or amount. Three cumulative conditions: present obligation (legal or constructive) from a past event; probable outflow; reliable estimate. Otherwise a **contingent liability** disclosed in the notes.
- Expense and liability at best estimate; then used (liability and cash down) or reversed (liability down, income up). Future operating losses: **forbidden**. Restructuring: only with a detailed formal plan, implemented or announced.

Slides case	Provision?
Refund policy known to customers, no legal obligation	Yes: constructive obligation
Contamination, law virtually certain after year-end 20X0	No in earlier years; yes in 20X0
Closure decided on 12 Dec, not announced	No: the obligation arises with the announcement
Warranty: 75% no defect, 20% minor (1), 5% major (10), 10,000 units	Yes: 2,000 + 5,000 = **7,000**
Food poisoning: improbable in 20X0, probable in 20X1	20X0 contingent liability; 20X1 provision

Course exercises

Lawsuit example (slides) Slides S5Suggested solution
Sued in 20X1 for 10M: low chances of losing. End 20X2: probable loss 8M. End 20X3: 9M. 20X4: settled for 9.5M.

▶ Show the solution

Flossie Flowers (Workbook) WorkbookSuggested solution
At 31 Dec X2: (A) flowers delivered on 27 Dec, €2,400 invoice sent on 5 Jan X3; (B) internet invoice of 1 Dec for Dec–Jan, €200, paid on 15 Dec; (C) December telephone €480 and light and heat €620, invoices in January; (D) €100,000 loan of 1 Jan X1 at 10%, annuities of €26,380 each January; nothing recorded for X2 (principal 18,018, interest 8,362).

▶ Show the solution

Imp (Workbook) WorkbookSuggested solution
Machine bought on 2 Jan 20X3 for £3,000,000, straight line over 5 years. Impairment test at the end of 20X6: value in use £800,000, net selling price £950,000.

▶ Show the solution

Provisor (Workbook) WorkbookSuggested solution
(a) One-year warranty, €3,000,000 of sales, 1–3% defective. (b) Phosphate extraction, remediation estimated at €5,000,000. (c) Lawsuit, probable loss €350,000. (d) Airline legally required to overhaul aircraft every three years, €2,500,000.

▶ Show the solution

Offenbach (type of adjustment) Moodle · OffenbachSuggested solution
(1) Four-month loan granted, one month of interest accrued; (2) office rented out on 1 Apr X1, one year's rent received; (3) loan received on 1 Oct X1, 10% interest paid at maturity; (4) six-month insurance paid on 1 Sept X1; (5) year-end bonuses decided, not paid; (6) advert in late December, no invoice yet.

▶ Show the solution

06 S6 · Statement of cash flows (13 Nov.)

Readings: Stolowy et al., ch. 16. Case: Beethoven (Workbook).

```
Operating cash flow (I)
+ Investing cash flow (II)
+ Financing cash flow (III)
= Net change in cash (IV)
Closing cash = opening cash + IV
```

Activity	Inflows	Outflows
Operating	Sales of goods and services, royalties, fees	Purchases, salaries, taxes
Investing	Sale of fixed assets, loans repaid to the firm	Purchase of fixed assets, loans granted, securities
Financing	Share issues, borrowing	Share buybacks, debt repayment

Interest and dividends. Until 2026 (IAS 7): a choice (received: operating or investing; paid: operating or financing; tax: operating). From 1 Jan 2027 (IAS 7 amended by IFRS 18), most entities: received → investing, paid → financing. Read the exam instruction.

- **Direct method**: collections minus payments. **Indirect method**: start from net income (from 2027: operating profit) and adjust. Same result; only operating cash flow differs in presentation.
- Operating cash flow normally positive; investing usually negative; financing either sign.

```
Indirect: net income + depreciation and impairment - reversals
  - increase in inventories and receivables (+ if decrease)
  + increase in payables (- if decrease)
= operating cash flow
```

Course exercises

Beethoven (Workbook) WorkbookSuggested solution
Balance sheet 31 Dec X1 (k€): equipment 900; inventory 200, receivables 220, cash 140; capital 400, retained earnings 250, X1 profit 360; bank loans 120, payables 90, tax payable 240. X2: sales 1,600 (1,400 collected); purchases 500 (480 paid); repaid 50, new loan 70, interest 45; salaries 450; rent 300; other 75; equipment 200 paid; depreciation 50; capital issue 240; closing inventory 220; tax 40%, paid in X3.

▶ Show the solution

Indirect method: numerical example Applying slides S6Suggested solution
Net income 100; depreciation 50; receivables +30; payables +20.

▶ Show the solution

07 S7 · Management accounting: costs, CVP, breakeven, relevant costs (20 Nov.)

Readings: Horngren, ch. 2, 10 and 3. Cases: Kuniyakino, Montvert, Walk-About.

- Management accounting provides financial and non-financial information to help managers decide and set strategy. Unlike financial accounting, it is organisation-specific, not compulsory, forward-looking and produced at any frequency.
- **Cost**: resource forgone for an objective. **Cost object**: anything whose cost we want to measure. Variable vs fixed (depends on contracts and time span); direct vs indirect (depends on the cost object, materiality, technology, operations).
- Unit costs must be used with care (Kruger: 146.50 per bike at 1,000 units but 209.50 at 600).

```
Profit = P × Q - v × Q - FC
Contribution margin per unit = P - v ; CM ratio = (P - v) / P
Breakeven volume = FC / (P - v) ; breakeven revenue = FC / CM ratio
Volume for a target profit = (FC + target) / (P - v)
```

- CVP assumptions: volume is the only driver; linear costs within the relevant range; constant prices, unit costs and mix; no time value of money.
- **Relevant costs**: future costs and revenues that differ between options; sunk costs are irrelevant. **Opportunity cost**: margin forgone. **Scarce resource**: rank products by margin per unit of the scarce resource.

Mary: CM £28 (40%), breakeven 84,000/28 = 3,000 dresses; advertising worth it (+£12,400). Noel: special order of 5,000 at €11.50 with variable cost €8.50 → +€15,000, accept. Tiilikainen: margin per hour 120 (moto) vs 75 (boat) → motos.

Course exercises

KuniyakinoSuggested solution

Classify costs D/I (Management section) and V/F (books sold).

▶ Show the solution

MontvertSuggested solution

Pens at €2, sales €20m, fixed costs €3.6m, variable cost €1.20; four independent changes.

▶ Show the solution

Walk-About Suggested solution

Price £30, commission 5%, shoes £19.50; fixed £360,000.

▶ Show the solution

My new car Suggested solution

€19,750 car, 25,000 km/year; employer offers €0.35/km for 15,000 business km.

▶ Show the solution

08 S8 · Full costing: job costing and cost allocation (27 Nov.)

Readings: Horngren, ch. 4, 5 and 14. Cases: Immoservices, Alp'Ski (part 1), WattWatt.

- Indirect costs must be allocated to obtain a full cost (pricing, portfolio, cost cutting, inventory valuation). Full costs must **not** drive decisions to drop a product or outsource: use differential analysis.
- Cost pool, allocation base (homogeneous pools, plausible drivers); support vs operating departments.
- Job costing (audit, consulting, aircraft, houses) vs process costing (deposits, mail, refining, food).
- Support departments: **direct** method (operating departments only), **step-down** (most-serving support department first), reciprocal (not in the course). Slides example: direct → machining 728,111 / assembly 587,889; step-down → 789,778 / 526,222.

```
Cost per unit of allocation base = pool cost / total units of base
Allocated cost = units consumed × rate
```

Course exercises

ImmoservicesSuggested solution
Labour £70/h; single pool £21,000 by hours; Pemberley 104 h, Netherfield 96 h; price = cost + 30%. Then two pools: admin £7,000 (hours), references £14,000 (requests: 2 and 8).

▶ Show the solution

Alp'Ski part 1 Suggested solution
Step allocation of maintenance, IS and purchasing to cutting and assembly; cutting on k€ of materials, assembly on assembly hours.

▶ Show the solution

WattWattSuggested solution
Overheads 2,400,000; labour 1,500,000; 25,600 hours; Alpha and Beta contracts.

▶ Show the solution

09 S9 · Activity-Based Costing (4 Dec.)

Readings: Horngren, ch. 6 and 7. Cases: Alp'Ski (part 2), McCarthy.

- ABC (US, 1980s): more, homogeneous pools built around **activities**; no support/operating distinction.
- Steps: cost objects; direct costs; activities, their cost and driver; rate per driver; allocation by consumption.
- Pros: faithful modelling (complexity), traceability, suited to services and processes. Cons: heavy database, bureaucracy. ABC → ABM (cost reduction, pricing, mix, customer value). About 40% of US firms, 20–35% in Europe.

```
Rate per driver = activity cost / total driver units
Allocated cost = Σ (driver units consumed × rate)
```

Course exercises

Alp'Ski part 2 (ABC) Suggested solution

Eleven activities totalling €215,000 (see the French version for the driver table).

▶ Show the solution

McCarthySuggested solution

Frozen fries, 1,000,000 kg (900,000 retail, 100,000 business).

▶ Show the solution

10 S10 · Budgeting and synthesis (11 Dec.)

Readings: Horngren, ch. 7 and 8. Cases: Castelo Branco, Smell Good, Puyricard.

- A budget is the quantified expression, over a limited period, of a forecast view of the firm. Strategy → objectives → action plans → resources. Part of a wider process (strategic plan, investment budgets, departmental budgets, cash budget). Used for control: budget vs actual, the basis of variance analysis.

```
Flexible budget = budget at actual volume with budgeted prices and unit costs
Static-budget variance = actual - static budget
Sales-volume variance = flexible budget - static budget
Flexible-budget variance = actual - flexible budget
```

Course exercises

Castelo Branco Suggested solution

2025 budget from the 2024 P&L and the stated assumptions.

▶ Show the solution

Smell Good, part I Suggested solution

Price €250, production cost €90, base 10,000 units, samples and media.

▶ Show the solution

PuyricardSuggested solution

Chocolates, candied chestnuts, fruit pastes; cost pools; three options.

▶ Show the solution

11 Sample exam · Financial accounting (Moodle)

Moodle "Final Quiz FA sample": 12 MCQs, then transactions to financial statements (income statement 1 pt, balance sheet 2 pts, cash flows 3 pts).

E1 · 12 MCQs Suggested solution
See the French version for the full wording; the 12 questions are also in the MCQ tab.

▶ Show the solution

E2 · From transactions to financial statements Official solution
Exam Corp., 2016: wages accrued 50; goods costing 250 sold for 500 (250 cash); suppliers paid 50; depreciation 100; dividends paid 100; short-term shares bought 100; loan repaid 100.

▶ Show the solution

12 Sample exam · Management accounting 1 (Cityline, A la Coque)

CitylineOfficial solution

Thunder (10,000 at €700) and Dualtron (20,000 at €450); €6m overhead on labour hours; price proposal; four cost pools.

▶ Show the solution

A la Coque Official solution

Price €40; actual 15,000 units vs 12,000 budgeted; variable costs 75,000 vs 54,000; fixed 40,000 vs 42,000.

▶ Show the solution

13 Sample exam · Management accounting 2 (make-up 2023: Speed Truck, Stella Cuero)

Speed Truck Official solution

180 trucks at €900; variable costs 45,000; fixed costs 104,000.

▶ Show the solution

Stella Cuero Official solution

Three bags; purchasing, cutting, sewing pools; then ABC.

▶ Show the solution